Preliminary Study on Wealth Effect

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Abstract

In this study, we attempt to see if wealthier people have an effect on the local community by looking at an array of data. In particular, we are interested in seeing if there are local employment benefits, as well as the charitable contributions that new wealthy people add.

1 Introduction

With most of the discourse on America's wealthiest being centered on inequality and the harmful effects of wealth concentration, there is little input on the potential positive effects of having wealthy people in an area. In this study, we attempt to see if the wealthy have a measurably positive impact on their communities through a variety of channels. Most notably through economic benefits like job opportunities, environmental benefits, as well as tax and charitable contributions. In doing so, we hope to show that wealth concentration is a more nuanced topic than what most discussions appeal to.

2 Methodology

Attempting to do a Hawaii-specific analysis is quite difficult given how small the islands are and how sparse the data can be. Despite this, we make do with what is available.

Data Sources

To do this analysis, we primarily use the American Community Survey prepared by the Census Bureau. Here, we leverage the geographical hierarchy that the Census provides, where we specifically look at the Tract level.

Additionally, we also leverage IRS Statistics of Income (SOI) data in order to gain a better picture of the taxes and charitable contributions that the wealthiest makes.

How do we measure the wealthy?

It is quite difficult to measure wealthy people due to many public sources of data needing to be anonymized, with IRS SOI data having the highest brackets for adjusted gross income just be over $200,000.